Aberdeen Group

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Outsourcing Application Development and Maintenance

Joining Cost Savings with IT Human Asset Management

November 2006

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Executive Summary

Over the last decade, the corporate information technology organization has weathered a massive transformation. Under pressure from the executive suite to cut costs and improve service to users, it sought to accomplish both by outsourcing work to specialty providers to improve service. In the late 1990s, the haunting specter of Y2K gave India's growing IT industry a foothold in the global economy as some providers took on the non-glamorous, non-value added remediation work at a fraction of the cost of what U.S. providers charged.

Today, most companies outsource at least some of their IT work — to India, the U.S., and elsewhere — as companies in other nations try to follow India's lead in providing highly skilled professionals at relatively low price points.

The top two pressures that drive the outsourcing of application development and maintenance should come as no surprise to executives: **reducing IT operating costs** and the desire to **have internal IT focus more heavily on strategic tasks**. But many organizations, especially mid-size enterprises, see value in human asset management in IT: **tapping the superior expertise** among some providers with the goal of having that knowledge transfused into the skill sets of their internal IT professionals. Also, more than one-third cite a need for **quicker turnaround in application development projects**, a key performance measurement in a faster-paced business world in which delay and hesitation can impact competitiveness.

Key Business Value Findings

Here are three key findings from Aberdeen's research:

- Best in Class organizations excel at saving significantly more money (an average of 56% over in-house development, more than twice that of Industry Average companies), achieving higher user satisfaction, and delivering better project performance than Industry Average and Laggard organizations.
- Companies generally respond to outsourcing challenges by dedicating more management resources or actively taking up issues with a provider's executives. This is especially true of Best in Class organizations.
- While India-based vendors have emerged as key market players, buyers are looking to vendors in other countries that can provide quality work at lower costs.
- Top outsourcing targets include **Java and web site development applications, .Net and Windows development, portals development**, and **database and database management.**

Implications & Analysis

Some important insights from this report include:

- Mid-size companies have different priorities from those of large and small organizations. The mid-market leans more toward gaining access to better expertise than saving money.
- There is a **strong demand to seek providers that are closer to home,** or "near shore," rather than look offshore for high-quality work at lower costs.
- North American companies tend to be more sensitive than companies in other parts of the world to the financial aspects of outsourcing; 82% cite cost-cutting as a driver; 76% say vendor management effort and costs are higher than expected.

Top outsourcing targets include Java and web site development applications, .Net and Windows development, portals development, and database and database management.

Recommendations for Action

Here are Aberdeen's recommendations from Chapter 4 of this report for companies in each of the three groups of our Competitive Framework:

- Companies that are just beginning to outsource or are early practitioners may find it **better to outsource development work first and maintenance later**. The reason? Working with external developers gives the IT organization a chance to hone its relationship management skills with more tangible work before they let go of the less tangible functions of maintenance.
- Laggard companies must strive toward improving their internal processes and focusing on the end-user's needs before improving at application-related outsourcing.
- Industry Average companies need to take an inventory of where their IT organizations excel and where they don't before they think of outsourcing a function.
- Best in Class companies can get better results from outsourcing — and for their IT groups — by retaining strategic work and involving the business units in helping manage outsourcing providers.

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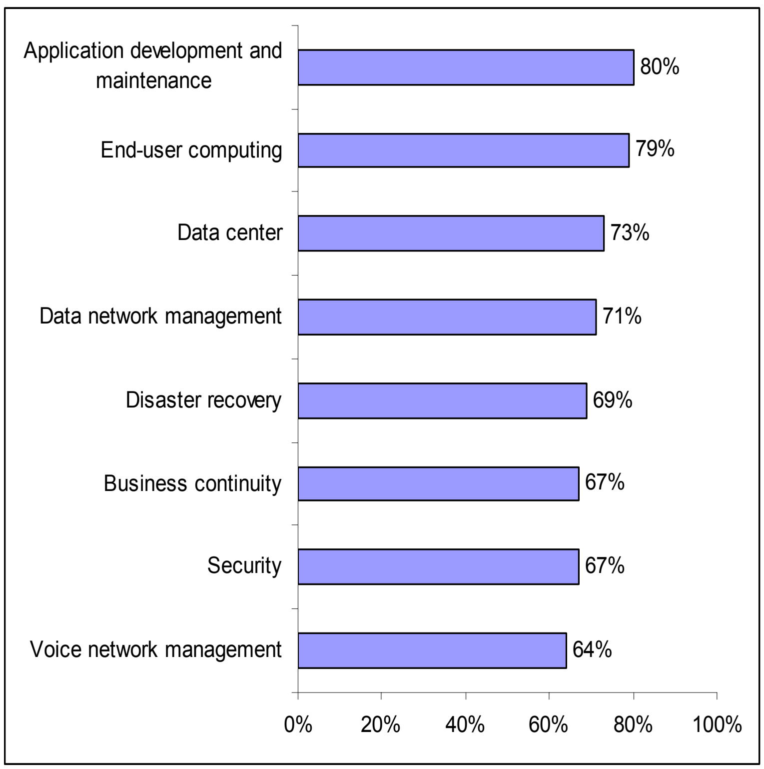
Chapter One: **Issue at Hand**

Key Takeaways

- Application development and maintenance is a prime IT outsourcing target, with many providers around the world jockeying for business.
- It's not just about savings. Many companies are outsourcing application development or maintenance for other reasons, notably improving service and freeing up IT staff for more strategic work.
- Still, lowering costs is the leading driver behind outsourcing efforts.

The corporate information technology organization has weathered a massive transformation over the last decade. Under pressure from the executive suite to cut costs and improve service to users, it sought to accomplish both by outsourcing some of the work to specialty providers to improve service. In the late 1990s, the industry was faced with the haunting specter of Y2K. That gave India's growing IT industry a foothold in the global economy as some providers took on the non-glamorous Y2K remediation at a fraction of the cost of what U.S. providers charged, especially for work that was merely preventative and — on its own — didn't add value for the customer.

Figure 1: Top IT Outsourcing Targets



Source: Aberdeen Group, July 2006

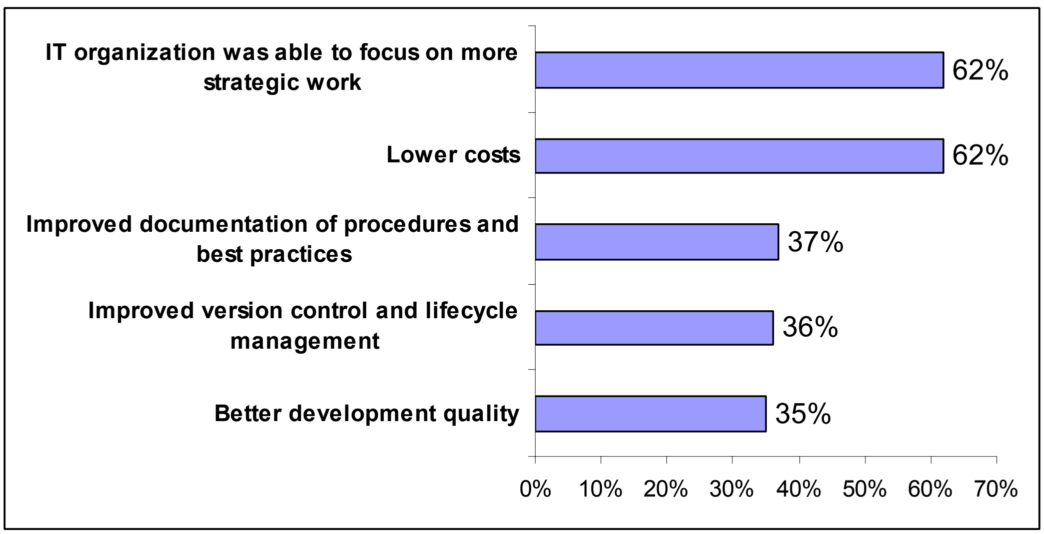
Today, most companies outsource at least some of their IT work — to India, the U.S., and elsewhere -- as more companies in other nations try to follow India's lead of providing basic IT functionality with highly skilled professionals at relatively low price points.

According to respondents to an Aberdeen survey for the recent *Business Value of IT Outsourcing Benchmark Report*, application development and maintenance is the prime IT outsourcing target (Figure 1), with end-user computing (help desk, desktop support) a close second.

It's Not Just about the Costs

In some quarters of the more industrialized nations, the word "outsourcing" itself carries with it a stigma that makes it synonymous with cost reductions through layoffs for the sake of sending functions to other providers — domestic or foreign — that can do the job for less. But according to our survey, organizations with more experience at outsourcing application development or maintenance look beyond the money to other key benefits, notably ***improved internal processes, better version control and lifecycle management,*** and two key IT human asset management payoffs: ***freedom to refocus IT staff on more strategic initiatives,*** , and ***the boost in skills the staff can gain by working with the outsourcing provider's personnel*** (Figure 2).

Figure 2: Top Benefits from Outsourcing Application Development or Maintenance



Source: Aberdeen Group, October 2006

According to a vice president at a mid-size telecommunications services firm, the company had placed a heavy focus on cost containment when it began to outsource a few years ago. But that wasn't the whole picture. "With a significant portfolio of antiquated applications, we

> "Essentially, we have a more *senior team. (It) costs more, of course, but (it has) a high degree of leverage over the development resources. Our skills at managing this arrangement have really increased over the last* two years."
>
> — VP at telecom services firm

could see that (containing costs) was an unrealistic expectation."

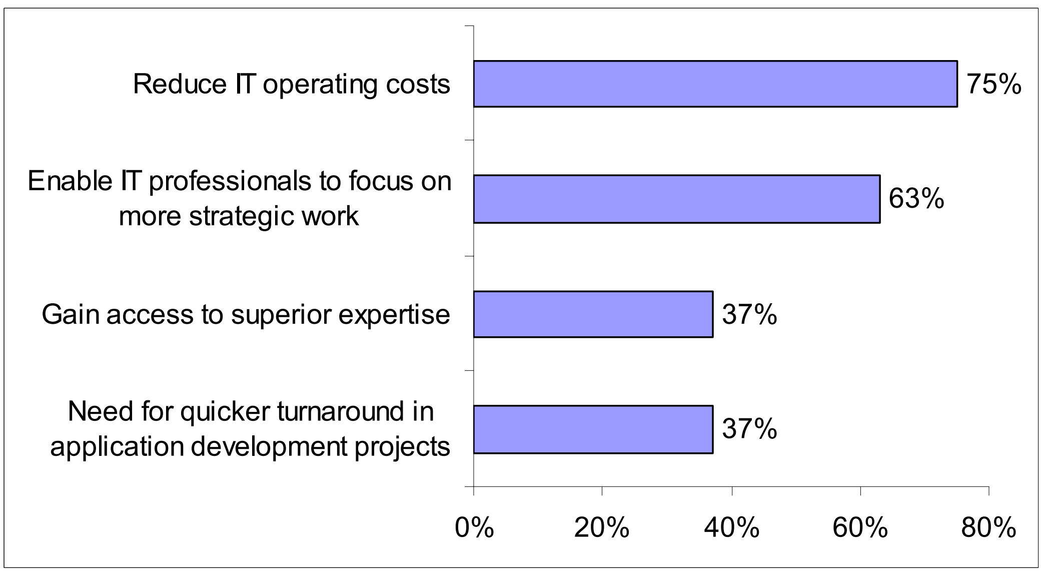
So, the company needed an applications upgrade. It outsourced the nitty-gritty development work, while the internal professionals supervised the outsourcing providers' work and performed quality assurance on it. As a result, the vice president, says, "our skills mix has changed. We have better architects and strategists than before, and very few developers.

"Essentially we have a more senior team. (It) costs more, of course, but (it has) a high degree of leverage over the development resources. Our skills at managing this arrangement have really increased over the last two years."

Key Drivers for Outsourcing

The benefits from outsourcing application development and maintenance map well to the chief drivers or pressures (Figure 3), which are reducing IT operating costs and the desire to have internal IT focus more heavily on strategic tasks.

Figure 3: Top Drivers for Application Development and Maintenance Outsourcing



Source: Aberdeen Group, October 2006

Yet, a substantial percentage of organizations see value in tapping the superior expertise among some providers with the goal of having that knowledge filter its way into the skill sets of their internal IT professionals. Also, more than one-third cite a need for quicker turnaround in application development projects, a key performance measurement in a faster-paced business world in which delay and hesitation can impact competitiveness.

These ***pressures***, along with the strategic ***actions*** companies take, plus the ***capabilities*** and ***enablers*** they use to combat the pressures, drive a substantial part of this report (See PACE Key).

PACE Key: For a more detailed description, see Appendix A

Aberdeen applies a methodology to benchmark research that evaluates the business pressures, actions, capabilities, and enablers (PACE) that indicate corporate behavior in specific business processes. These terms are defined as follows:

Pressures — external forces that impact an organization's market position, competitiveness, or business operations

Actions — the strategic approaches that an organization takes in response to industry pressures

Capabilities — the business process competencies required to execute corporate strategy

Enablers — the key functionality of technology solutions required to support the organization's enabling business practices

Chapter Two:
Key Business Value Findings

Key Takeaways

- Best in Class organizations excel at saving more money, higher user satisfaction, and better project delivery performance over Industry Average and Laggard organizations.
- Companies generally respond to outsourcing challenges by dedicating more management resources or taking up issues with a provider's executives. This is especially true of Best in Class organizations.
- While India-based vendors have emerged as key market players, buyers are looking to vendors in other countries that can provide quality work at lower costs.

While the drivers behind application development and maintenance outsourcing are clear, organizations — taken altogether — are receiving four key benefits from their third-party relationships: **more time for their IT staff to focus on strategic work, lower costs,** and **improvements in version control, lifecycle management, and in documentation of procedures and best practices.**

How Do You Win?

The criteria for winning at outsourcing application development or maintenance vary depending on the company. However, leading companies, what Aberdeen refers to as Best in Class, excel in three key measurements — **higher cost savings, greater user satisfaction,** and **improved project delivery performance** — over Industry Average and Laggard firms within Aberdeen's Competitive Framework.

Competitive Framework Key

The Aberdeen Competitive Framework defines enterprises as falling into one of the three following levels of practices and performance:

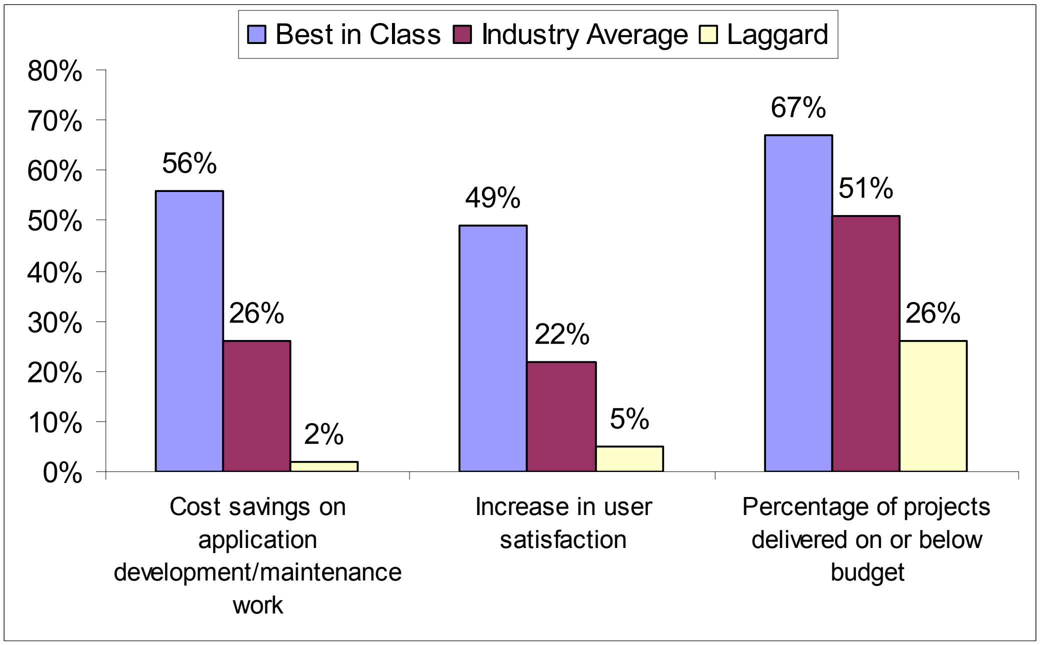
Best in Class (20%) —practices that are the best currently being employed and significantly superior to the industry norm

Industry Average (50%) —practices that represent the average or norm

Laggards (30%) —practices that are significantly behind the average of the industry

To determine the Best in Class for this report, Aberdeen looked at the major drivers behind application development and maintenance outsourcing (Figure 3 from Chapter One), then examined respondents' answers to a series of key performance questions, starting with cost savings. The companies that emerged at the top 20% of the survey field saved, on average, 56% by outsourcing application development and/or maintenance functions, compared with 26% for Industry Average firms, and very little for Laggards (Figure 4). Those same firms also performed better than the other two groups in improving user satisfaction and project delivery, as well as improvement in defect rates.

Figure 4: Key Performance Indicators by Competitive Framework



Source: Aberdeen Group, October 2006

So, while cost savings is a top driver, it is not *the* driver in all organizations (Chapter Three addresses the drivers in more detail). Here's what an IT manager from a mid-size company in the food and beverage industry has to say about his employer's reasons for outsourcing: "We do not outsource to save (on costs)," he says emphatically. "We do it to gain access to superior expertise for short periods (of time) and then to free up our internal IT professionals to focus on their strategic work.

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>
> *-- IT manager, mid-size food and beverage company*

"We have done several exercises related to reduced cost through outsourcing and none — I mean *none* — has come out at a lower cost but rather higher cost at a promise of more benefits. Over time these promises actually fade … and the initial cost goes up or the service goes down."

Table 1 highlights the other differences among the Best in Class, Industry Average, and Laggard firms in their processes, knowledge, and organizational strategies in application development and maintenance outsourcing.

Table 1: Aberdeen's Competitive Framework for Application Outsourcing

	Best in Class	Industry Average	Laggards
Process	Call on relationship management skills that extend across all enterprise functions Tend to take more of an incremental approach to outsourcing (e.g., outsource pieces of work, opt for long-term contracts) when launching a strategy	Heavy focus on systems analysis and quality assurance Tend to outsource pieces of work to determine which providers can best meet their needs	Heavy focus on end-user testing and systems analysis May outsource pieces of work to determine which providers can best meet needs; also look at pilot projects to help set expectations
Organization	CIO and CTO play major roles in outsourcing decisions Most have cross-functional relationship management team to oversee relationship	CIO and CTO likely to play major roles in outsourcing decisions Most manage outsourced work from within the company	Most CIOs play major roles, but not CTOs Most manage outsourced work from within the company
Knowledge	Retain the most strategic functions, such as project management , acceptance, and business process optimization, and leave the rest to third-party providers	Most retain the most strategic functions, along with systems architecture and QA	Retain the most strategic functions, along with systems architecture, QA, integration testing, and installation
Results	Development process excellence with the metrics to prove it	Moderate development control and metrics performance	Most likely to cite suboptimal work by providers Limited development controls; retaining of more functions limits ability to allow IT staff to work on more strategic initiatives

Source: Aberdeen Group, October 2006

Challenges and Responses

Outsourcing application-related work — especially for companies doing it for the first time — generally doesn't come without hiccups. The top three challenges respondents cited (Table 2) demonstrate that being less than thorough in exercising due diligence in the provider selection process can strain a relationship with a chosen vendor. However, the responses to those challenges — especially the top two —echo a key finding from Aberdeen's July 2006 benchmark report, *The Business Value of IT Outsourcing:* Achieving the goals of IT outsourcing sometimes requires stronger management of providers.

Table 2: Challenges and Responses in Application Outsourcing

Challenges	% Selected	Responses to Challenges	% Selected
Securing a provider with the right skill set	43%	Dedicated more management resources	58%
Integration, testing and/or quality assurance work took more effort than expected	43%	Escalated problems to outsourcing provider's executive team	49%
Communication or cultural "gaps" with the provider	38%	Implemented new/revised vendor management processes	34%
Missed project milestones	29%	Moved from single vendor to multiple vendors	26%
Less than quality work	26%	Renegotiated contract or statement of work	25%
Inadequate or insufficient skills to manage outsourced environment	25%	Dedicated more IT technician resources	22%

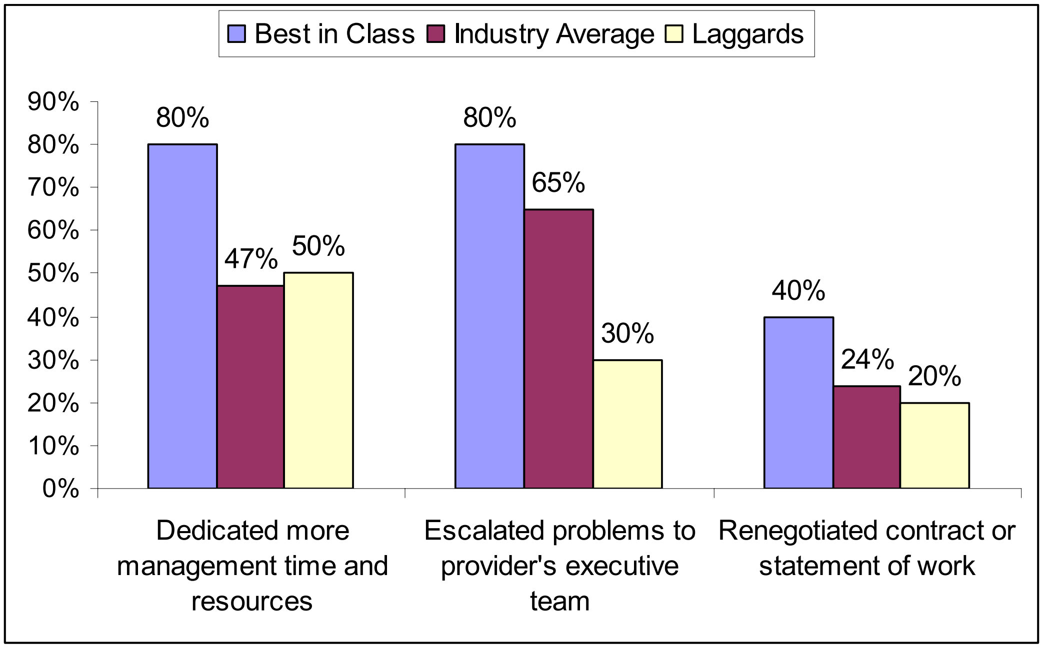
Source: Aberdeen Group, October 2006

An IT manager for an industrial equipment manufacturer believes anyone in a "relationship management" position for an organization that outsources application development and maintenance work must understand more than just management skills. "We hired two people from large-scale outsourcers" to build up a relationship management team, he said. "They had the necessary understanding to treat the outsourcer with respect and yet also to know when they were pushing the envelope (both ways). The key skills are those of any relationship manager -- customer focus, experienced at delivery, relationship skills -- but on top of that was the experience at large scale development and of outsourcing projects."

> "The key skills (for relationship management) are those of any relationship manager -- customer focus, experienced at delivery, relationship skills -- but on top of that was the experience at large scale development and of outsourcing projects."
>
> *-- IT manager, industrial equipment manufacturer*

In Aberdeen's survey for *The Business Value of IT Outsourcing Benchmark Report* from July 2006, Best in Class firms excelled in this area. More than two-thirds indicated that they dedicate more management time and talent in answering outsourcing challenges while half escalate issues to provider executives, compared with only about half of Industry Average and Laggard firms. This survey reaffirms leading companies' affinity for those two responses, along with renegotiating an outsourcing contract (Figure 5).

Figure 5: Responses to Challenges by Competitive Framework



Source: Aberdeen Group, October 2006

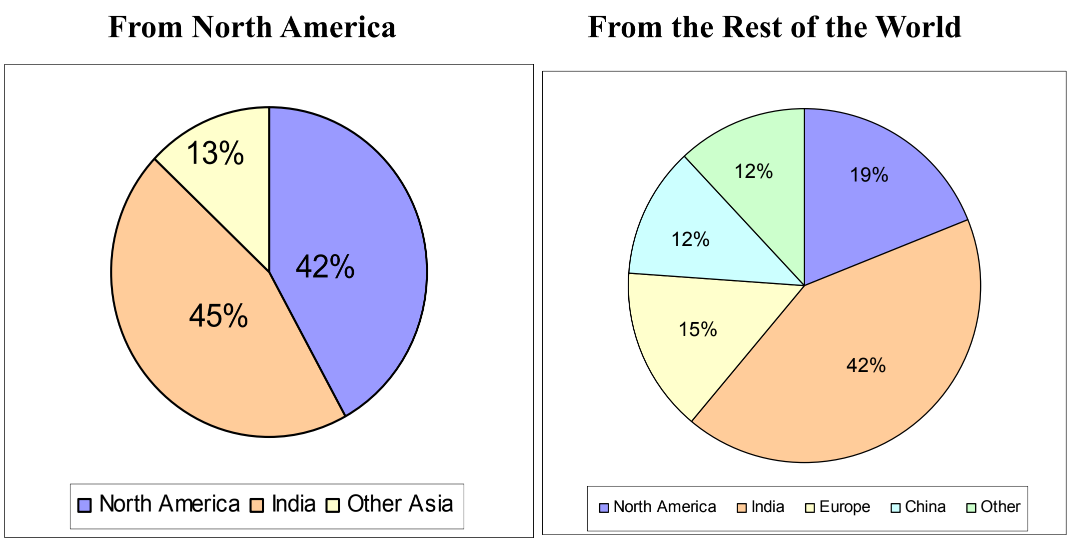
A Truly Global Marketplace

The technology boom of the 1990s, coupled with the remediation work companies worldwide engaged in to ward off the Year 2000 (Y2K) computer problem, sparked India's rise as an IT powerhouse, especially as a popular site for application development outsourcing work. Simply, Indian providers were offering established companies quality work at a fraction of the labor cost they had been paying. This is reflected in the following survey findings:

- 46% of respondents' companies outsource the majority of their application development work to India; the U.S. picks up 30%.
- More than half of the companies — 55% — outsource most of their application maintenance work to India, followed by the U.S., but at less than half (27%).
- Companies that outsource most of their application development and maintenance work to Indian providers are slightly more satisfied with the quality of that work than are companies that outsource primarily to U.S. providers.

But companies in other countries are muscling in on the action, notably in China, Eastern Europe, Brazil, Canada, and Mexico, offering companies more options. The right side of Figure 6 shows the proportion of application development work going to providers in India and the U.S., as well as to other countries. Contrast that with the left side, which shows the primary application development outsourcing destinations for companies within North America.

Figure 6: Top Destinations for Application Development Outsourcing



Source: Aberdeen Group, October 2006

Chapter Three: **Implications & Analysis**

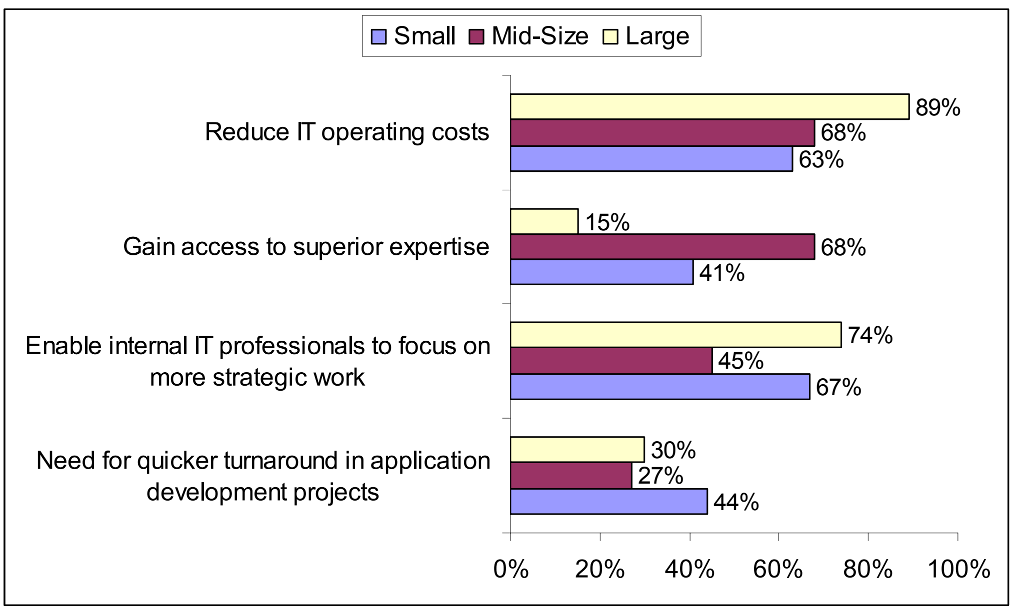
Key Takeaways

- Mid-size companies have different priorities from those of large and small organizations. the mid-market leans more toward gaining access to better expertise than saving money.
- There is a strong demand for providers that are closer to home, or "near shore," rather than look offshore for high-quality work at lower costs.
- North American companies tend to be more sensitive than companies in other parts of the world to the financial aspects of outsourcing; 82% cite cost-cutting as a driver; 76% say vendor management effort and costs are higher than expected.

The top two drivers, or pressures, cited in Chapter One form the primary raisons d'etre for outsourced application development and maintenance, as well as most IT outsourcing engagements. And the top benefits, also cited in Chapter One, show that, for the most part, companies are getting what they pay for.

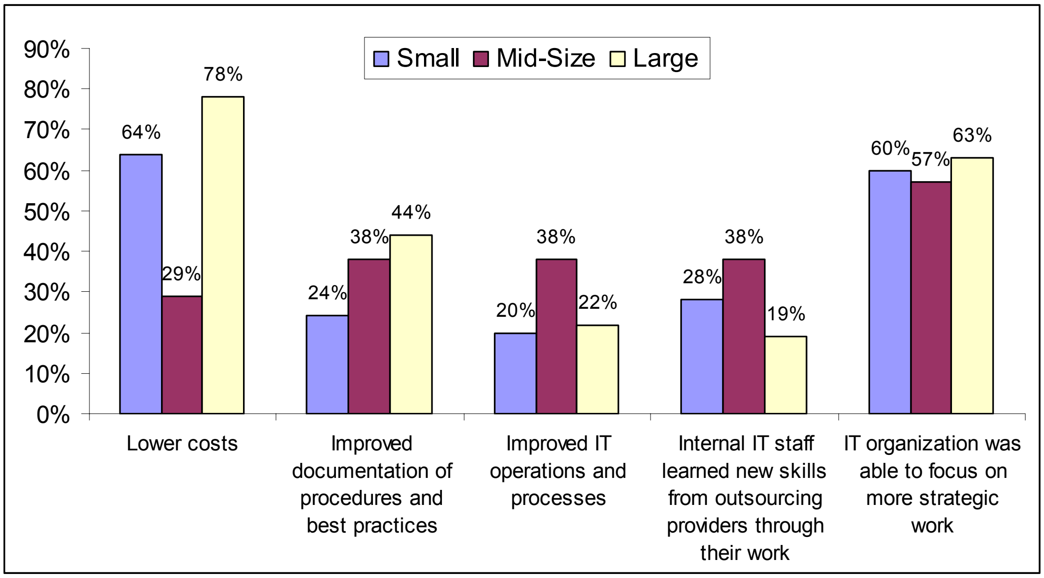
However, mid-size enterprises tell a different story (Figure 7). They are more likely to outsource as a way of helping up-skill their IT staffs through the transfer of knowledge from outsourcing providers. And, as Figure 8 shows, cost reduction is a secondary benefit for these companies compared with improved operations, a better skilled staff, and more strategic work for the IT organization with the outsourcing providers taking on the more tactical functions.

Figure 7: Application Outsourcing Drivers by Company Size



Source: Aberdeen Group, October 2006

Figure 8: Selected Application Outsourcing Benefits by Company Size



Source: Aberdeen Group, October 2006

These results are not surprising given that cash-strapped small companies, as well as large enterprises that are more mature with their processes and organizational structures in outsourcing IT work place more weight on cost control. On the other hand, many mid-market firms are positioning themselves for growth and consider increased IT knowledge and improved IT operations as their highest potential ROI.

The IT manager from the mid-size food and beverage company mentioned in Chapter Two says his developers and those who work for outsourcing providers share techniques so that both sides benefit. "We still do development in the same area as what we outsource," the manager says. "The speed at which our staff as well as the outsourced developers learn becomes exponential and it is very cost effective. We have actually been amazed at what we achieve through this approach."

"The speed at which our staff, as well as the outsourced developers, learn becomes exponential and it is very cost effective. We have actually been amazed at what we achieve through this approach."

-- IT manager, mid-size food and beverage company

PACE (Pressures, Actions, Capabilities, Enablers)

Aberdeen's PACE Framework for getting the most value out of application development and maintenance outsourcing (Table 3) highlights the chief pressures that push organizations to outsource these functions, along with the actions enterprises take in responding to the pressures, plus the capabilities and enablers they can employ to ease those pressures. The enablers, which usually focus on technological tools in a typical PACE framework, focus on what work is better outsourced and which functions might be better kept in-house. For instance, a company that would prefer its IT staff to focus on more strategic work may prefer to outsource work associated with older applications, such as maintenance of COBOL and client-server applications.

Table 3: PACE (Pressures, Actions, Capabilities, Enablers)

Prioritized Pressures	Prioritized Actions	Prioritized Capabilities	Prioritized Enablers
Reduce IT operating costs *(75%)*	Develop thorough cost-benefit analysis of an outsourcing strategy (i.e., consider all costs associated with outsourcing) and present it to senior executives Opt for short-term contract (i.e., one year) before entering a longer-term deal	Work is done outside the organization but managed from within, with a close focus on performance metrics	Outsourcing of Web site development (Ajax, HTML, SAP, BAP); database management
Enable IT professionals to focus on more strategic work *(63%)*	Commission small pilot project to help set and adjust expectations. Outsource specific development work such as Java or web site development	Retain systems analysis and design, quality assurance, end-user testing, and installation work.	Outsourcing of pure Java/J2EE and Unix development and maintenance, plus maintenance of older applications, such as COBOL, AS/400 RPG, and client-server
Gain access to superior expertise *(37%)*	Look to "near shore" providers so that teams on both sides can work concurrently to facilitate sharing of processes and methodologies	Look for providers that can conduct some of the tactical work in a technology your organization uses for a better linking of best practices	Outsourcing of .NET and Windows development, plus SOA development, portal, web B2B, and open source/Linux
Need for quicker turnaround in application development projects *(37%)*	Hire manager to lead outsourcing effort and manage providers Experienced companies can consider simultaneous development in North America, Asia, and Europe	Retain project management and utilize software quality assurance methodology	Keep SOA, open source, and Linux development and maintenance functions
Mandates to improve IT service levels with business units *(20%)*	Assemble cross-disciplinary team to assess needs before seeking a provider. Consider BPM technology	Have cross-functional relationship management team and/or relationship managers	Maintain control over systems integration and enterprise integration work, which have more direct impact on end-user productivity

Source: Aberdeen Group, October 2006

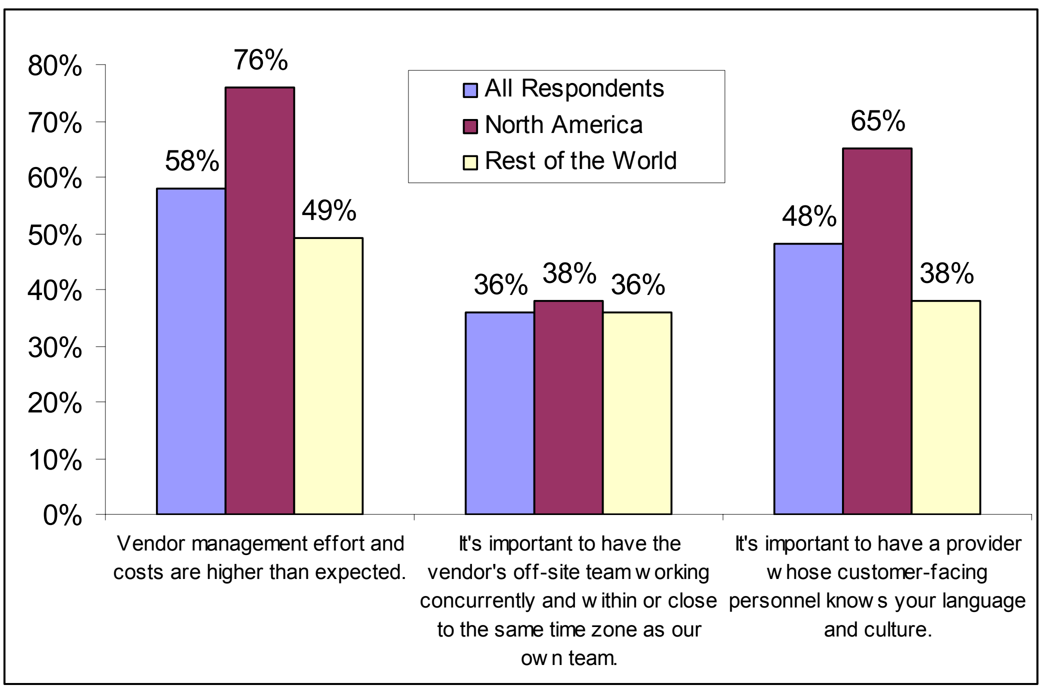
Keeping the Work Closer to Home

In one notable finding from the survey, 36% of respondents say it's important that a provider's team work within or close to the same time zone as the client's team. This indicates a popularity of what many in the industry call "near shore," as opposed to offshore, outsourcing arrangements. Near-shore arrangements can facilitate face-to-face meetings between the two sides as well as the exchange of knowledge during normal business hours for both parties. This can be especially beneficial for client companies that outsource to gain access to superior expertise that can help up-skill the internal staff.

Geographical Differences

Perspectives on application development and maintenance outsourcing tend to vary depending on which part of the world your company is located. For instance, while 75% of companies represented in the survey say their chief outsourcing driver is cost control, 82% of respondents from North America — more than four in every five — cite that as their chief driver. This could very well explain how many of these companies are more sensitive to cost-related issues when asked about their outsourcing "experiences" (Figure 9).

Figure 9: Companies' Top Experiences in Application Outsourcing



Source: Aberdeen Group, October 2006

North American companies are also more sensitive to language and cultural gaps between provider and customer. By extension, a provider that also knows your business can be an even bigger asset. The IT manager from the industrial equipment manufacturer cited in Chapter Two says prospective providers should be asked not just about your company's environment and requirements, but also "to ensure they … understand your company's business practices and culture."

Chapter Four: Recommendations for Action

Key Takeaways

- Laggard companies must strive toward improving their internal processes and focusing on the end-user's needs before improving at application-related outsourcing.
- Industry Average companies need to improve at IT human asset management by taking an inventory of where their IT organizations excel and where they don't before they think of outsourcing a function.
- Best in Class companies can get better results from outsourcing — and for their IT groups — by hanging onto strategic work and involving the business units in helping manage outsourcing providers.

Success in IT outsourcing, especially with application development and maintenance work, does not lie merely in shipping off a problem or "necessary evil" to a third-party provider. In many cases, outsourcing requires special management skills since the professionals being managed are not on your company's payroll and are usually working away from your site — and out of your sight.

That's why companies looking to outsource application work must exercise due diligence by examining a potential provider's capabilities in as much detail as possible and by checking client references. It's also important to manage the provider as if it were part of the organization. Much as a company establishes goals and objectives for its employees, the IT organization must do the same with a provider through service-level agreements and well-managed project management procedures and reviews.

For companies just starting out or relatively new to application development and maintenance outsourcing (i.e., less than two years' experience), it may be better to outsource development first and maintenance later. Our survey found that for most application technologies, organizations with less than two years of outsourcing experience in applications outsource more on the development side. This makes sense because it allows a company to build up relationship management competency within a tangible work product. Then, after the organization has honed that competency, it can start to let go of some of the maintenance functions once they realize they can manage it competently.

Laggard Steps to Success

1. *Strive toward process maturity.* If you're just embarking on an outsourcing initiative, are early in the pre-selection process, or re-engineering it, look toward outsourcing small chunks of the work as a way of testing the provider or providers your company hires. Measure the work on quality, turnaround, and all costs (direct and indirect), then compare those metrics against pre-established service-level agreements (SLAs) and what the metrics were before the engagement began. Also, hone your own outsourcing management skills. This can help set expectations and establish key elements of outsourcing management processes you need to yield the best results.

2. *Start small, then build up the number of functions you can outsource.* A small, short-term pilot project with a chosen provider could provide a strong indicator of how a longer-term relationship might work. Use it to help build trust with the provider should you foresee the possibility of a long-term deal.

3. *Keep the end user in mind.* The IT organization's primary responsibility is to provide technology and technology support services to the entire organization. While saving money can be important, increasing worker productivity carries just as much weight in achieving corporate goals. And, in many cases, end-user frustration can speak more loudly than missed savings targets can.

Industry Average Steps to Success

1. *Learn first, save money later.* Most Industry Average companies represented in the study believe outsourcing providers have more disciplined methodologies, which, over time, can lower costs, further. Since knowledge transfer from outsourcing providers is more important to small and mid-size companies (which make up most of the Industry Average group), use it to up-skill your staff and become more disciplined in IT delivery. Then use process discipline as a steppingstone to improved fiscal discipline. Best in Class companies invariably have well disciplined and managed IT processes with predictable results.

2. *Know where your IT organization excels — and where it doesn't.* Most Industry Average and Best in Class enterprises retain the most strategic functions associated with application development and maintenance, such as project management, business process optimization, and systems architecture. If these are core competencies in your IT group, lean toward retaining them unless you believe you can get even better at it by spending less through outsourcing. Recognizing your IT group's strengths should serve as one baseline for determining which functions should stay and which may be better off outsourced.

Best in Class Next Steps

1. *Hang onto the strategic stuff.* If a key outsourcing goal is to keep the strategic IT work in-house, look first to portal development and, if applicable, open source/Linux development, and any pending rollouts of the Windows Vista operating system. These represent the top strategic undertakings IT organizations are facing today or will face within the next two years. Keeping that work within the organization will go a long way toward enhancing the skills of your IT staff and keeping them.

2. *Stick with the "inclusive" approach to managing the relationship*. Having a cross-functional relationship management team can ensure that you're getting the broadest possible feedback on service delivery from across the end-user base. That can help ensure your company is receiving the maximum possible value from an outsourcing arrangement and help you determine which provider can deliver best for your organization, depending on how well you know the provider landscape.

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Appendix A: Research Methodology

In September and October 2006, Aberdeen Group examined the services parts management procedures, experiences, and intentions of nearly 125 enterprises in a variety of industries. Half of the responding executives came from corporate information technology organizations. Other respondents came from the following corporate functions: marketing, business process management, sales, finance, logistics/supply chain, procurement, and customer service.

All respondents completed an online survey that included questions designed to determine the following:

- The degree to which the outsourcing of application development and maintenance functions impacts IT operations and budgetary results;
- The nature of the work IT organizations have outsourced or plan to outsource and the functions IT organizations keep in house;
- The lessons enterprises have learned from their outsourcing engagements; and
- The benefits, if any, that companies have realized from their application development and maintenance outsourcing initiatives.

Aberdeen supplemented this online survey effort with interviews with select survey respondents, gathering additional information on application development and maintenance outsourcing strategies, experiences, and results.

The study aimed to identify best practices for outsourcing application development and maintenance functions and provide a framework by which readers could assess their own capabilities in this area.

Responding enterprises included the following:

- ***Job title/function***: The research sample included respondents with the following job titles: manager (31%), senior management, such as CEO, CFO and COO (18%), director (14%), CIO/IT leader (14%), vice president or senior vice president (7%), internal consultant (6%), and staff or other (10%).
- ***Industry***: The research sample included respondents predominantly from manufacturing industries, led by high technology/software (30%), computer equipment and peripherals (6%), and mining/oil/gas (3%) plus other manufacturing industries (14%). Among service industries, finance/banking/accounting led the way (13%); followed by transportation/logistics (10%), telecommunications services (7%), retail (5%), insurance/real estate/legal services (3%). Other service industries accounted for 7% of the sample. Public sector organizations accounted for 2%.
- ***Geography***: Thirty-nine percent of the respondents came from North America (U.S., Canada, Mexico), followed by Asia-Pacific (27%), Europe (26%), the

Middle East and Africa (7%) and, South/Central America and the Caribbean (1%).

- ***Company size:*** About 30% of respondents were from large enterprises (annual revenues above US$1 billion); 29% were from midsize enterprises (annual revenues between $50 million and $1 billion); and 41% of respondents were from small businesses (annual revenues of $50 million or less).

Solution providers recognized as sponsors of this report were solicited after the fact and had no substantive influence on the direction of *Outsourcing Application Development and Maintenance.* Their sponsorship has made it possible for Aberdeen Group to make these findings available to readers at no charge.

Table 4: PACE Framework

PACE Key
Aberdeen applies a methodology to benchmark research that evaluates the business pressures, actions, capabilities, and enablers (PACE) that indicate corporate behavior in specific business processes. These terms are defined as follows:
Pressures — external forces that impact an organization's market position, competitiveness, or business operations (e.g., economic, political and regulatory, technology, changing customer preferences, competitive)
Actions — the strategic approaches that an organization takes in response to industry pressures (e.g., align the corporate business model to leverage industry opportunities, such as product/service strategy, target markets, financial strategy, go-to-market, and sales strategy)
Capabilities — the business process competencies required to execute corporate strategy (e.g., skilled people, brand, market positioning, viable products/services, ecosystem partners, financing)
Enablers — the key functionality of technology solutions required to support the organization's enabling business practices (e.g., development platform, applications, network connectivity, user interface, training and support, partner interfaces, data cleansing, and management)

Source: Aberdeen Group, Month 2006

Table 5: Relationship between PACE and Competitive Framework

PACE and Competitive Framework How They Interact
Aberdeen research indicates that companies that identify the most impactful pressures and take the most transformational and effective actions are most likely to achieve superior performance. The level of competitive performance that a company achieves is strongly determined by the PACE choices that they make and how well they execute.

Source: Aberdeen Group, Month 2006

Appendix B:
Related Aberdeen Research & Tools

Related Aberdeen research that forms a companion or reference to this report include:

- *The Business Value of IT Outsourcing* (July 2006)
- *The Legacy Application Modernization Benchmark Report* (August 2006)
- *The Business Process Management Benchmark Report* (August 2006)
- *Achieving More Value from Enterprise Integration Benchmark Report* (May 2006)

Information on these and any other Aberdeen publications can be found at www.Aberdeen.com.

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